

to the price available in the market. If the stock price traded at a sufficient discount to the intrinsic value to provide a margin of safety, the stock could be purchased. Given time, the market price would revert toward the intrinsic value, at which time the stock should be sold. Where the intrinsic value exceeded the price or where it didn't offer a sufficient margin of safety the stock should be avoided. Simplicity itself. With David Dodd, a Columbia Business School professor who as a student had taken Graham's first class, Graham converted those lectures in 1934 into *Security Analysis*, a book universally regarded as the foundational document for value investment.

To Graham, who had been brought close to ruin in the 1929 stock market crash, the best estimate of intrinsic value was the most conservative one, and the most conservative estimate of intrinsic value was a stock's liquidation value. It was also the easiest to calculate, requiring little analysis beyond the application of a simple, purely quantitative rule. Graham used the so-called "net current asset value" calculation—so eagerly embraced by Thomas "Net Quick" Evans and the other White Sharks of Wall Street—to examine a company's working capital and deliver an inexact, but typically conservative, proxy for the liquidation value. Graham's objective when employing the net current asset value method was not to determine the exact liquidation value of the company, but to form a rough idea of that value in order to ascertain whether or not the shares were selling for less than the shareholders could take out of the business:²

A company's balance sheet does not convey exact information as to its value in liquidation, but it does supply clues or hints which may prove useful. The first rule in calculating liquidating value is that the liabilities are real but the assets are of questionable value. This means that all true liabilities shown on the books must be deducted at their face amount. The value to be ascribed to the assets however, will vary according to their character.

Graham determined the net current asset value by calculating the company's current assets, and then deducting from that calculation *all* liabilities, both current and long term. Long-term asset values—for example, intangible assets and fixed assets like plants—were totally excluded from the calculation. In ordinary times, and for the vast majority of companies, the net current asset value calculated after conducting such an examination was negative, indicating a surplus of liabilities over current assets. For a small number of stocks, however, the net current asset value would be positive, indicating a surplus of cash, receivables, and inventory over all liabilities. To be considered for purchase, Graham required that a company with a net current asset surplus trade at a market capitalization no higher than two-thirds